

Superior Court of the State of California
County of Orange
TENTATIVE RULINGS FOR DEPARTMENT N16

HON. Donald F. Gaffney

Counsel and Parties Please Note:
Law and Motion in Department N16 is heard
on Wednesdays at 9:00 a.m.

Date: June 24, 2026

Tentative Rulings will be posted on the Internet on the day before the hearing by 5:00 p.m. [or earlier] whenever possible. To submit on the tentative ruling, please contact the clerk at (657) 622-5616, after contacting opposing party/counsel. Prevailing party shall give notice of the Ruling and prepare the Order/Judgment for the Court's signature if required.

NOTE: After posting of tentative rulings, the Court will not take the motion off calendar and will grant a continuance of the motion only upon stipulation of all affected parties.

If no appearances are made on the calendared motion date, then oral argument will be deemed to have been waived and the tentative ruling will become the Court's final ruling.

#	Case Name	Tentative
1	Arroyo vs. General Motors, LLC	OFF CALENDAR
2	Watanabe vs. Maserati North America, Inc.	TENTATIVE RULING: For the reasons set forth below, Defendant Maserati North America, Inc.'s demurrer to Plaintiff Neil Watanabe's First Amended Complaint is SUSTAINED, with 30-days leave to amend. <u>Statement of Law</u> In ruling on a demurrer, a court must accept as true all allegations of fact contained in the complaint. (<i>Blank v. Kirwan</i> (1985) 39 Cal.3d 311, 318.) A demurrer only tests the sufficiency of the pleadings. (See <i>Satyadi v. West Contra Costa Healthcare District</i> (2014) 232 Cal.App.4th 1022, 1028 [in analyzing a demurrer, the court looks only to the face of the pleadings and to matters judicially noticeable]). <u>2nd COA – Violation of Cal. Com. Code § 2313</u> This section provides:

(1) Express warranties by the seller are created as follows:

(a) Any affirmation of fact or promise made by the seller to the buyer which relates to the goods and becomes part of the basis of the bargain creates an express warranty that the goods shall conform to the affirmation or promise.

(b) Any description of the goods which is made part of the basis of the bargain creates an express warranty that the goods shall conform to the description.

(c) Any sample or model which is made part of the basis of the bargain creates an express warranty that the whole of the goods shall conform to the sample or model.

(2) It is not necessary to the creation of an express warranty that the seller use formal words such as “warrant” or “guarantee” or that he have a specific intention to make a warranty, but an affirmation merely of the value of the goods or a statement purporting to be merely the seller's opinion or commendation of the goods does not create a warranty.

(Cal. U. Com. Code, § 2313.)

“The essential elements of a cause of action under the California Uniform Commercial Code for breach of an express warranty to repair defects are (1) an express warranty [citation] to repair defects given in connection with the sale of goods; (2) the existence of a defect covered by the warranty; (3) the buyer’s notice to the seller of such a defect within a reasonable time after its discovery [citation]; (4) the seller’s failure to repair the defect in compliance with the warranty; and (5) resulting damages [citations].” (*Orichian v. BMW of North America, LLC* (2014) 226 Cal.App.4th 1322, 1333–1334).

Defendant contends that this cause of action fails because Plaintiff failed to allege any privity between Defendant and Plaintiff as the buyer.

Recently, courts have held that:

The Commercial Code’s express warranty provisions are limited to warranties given by the seller directly to the buyer. [Citations.] Moreover, “the warranty sections ... are not designed in any way to disturb those lines of law growth which have recognized that *warranties need not be confined either to sales*

contracts or to the direct parties to such a contract.” [Citation.] In other words, while express warranties apply under the Commercial Code only to a seller in privity with the buyer, the buyer may sue a third-party manufacturer for breach of an express warranty in the absence of privity. [Citation.]

(*Ballesteros v. Ford Motor Co.* (2025) 109 Cal.App.5th 1196, 1216-1217, italics in original). The court went on to state: “Similarly, implied warranties arise under the Commercial Code only for a merchant or seller in privity with the buyer.” (*Id.* at 1217).

In *Davis v. Nissan North America, Inc.* (2024) 100 Cal.App.5th 825, a motion to compel arbitration case, Nissan argued that equitable estoppel applied to preclude the buyer from contesting arbitration because manufacturer warranties are considered part of a retail sale contract under Division 2 of the California Uniform Commercial Code. (*Id.* at 837-838). The court rejected this argument, holding that “Division 2 of the UCC governs the relationship of the parties to a sale, and its warranty provisions are limited to warranties given directly by the seller to the buyer. The UCC's express warranty provision by its terms applies only to ‘[e]xpress warranties by the seller’ (Cal. U. Com. Code, § 2313, subd. (1)(a), italics added.) ‘The section gives a cause of action only against ‘the seller.’ ” (White, et al., Uniform Commercial Code (6th ed. 2023) § 10:10.).” (*Id.* at 838).

Plaintiff alleges the following in his First Amended Complaint:

“Privity is not required here because Plaintiff is the intended third-party beneficiary of contracts between Defendants and its dealers, included the dealer from which Plaintiff purchased the Subject Vehicle and specifically, of Defendants’ implied warranties.” (FAC, ¶ 19) “Defendant made affirmations of fact and promises, including written warranties, relating to the Subject Vehicle’s condition and performance.” (FAC, ¶ 24). “These affirmations and promises became part of the basis of the bargain, creating an express warranty that the goods shall conform to the description.” (FAC, ¶ 25). “Defendant breached the express warranty by delivering a defective vehicle and failing to repair the defects within a reasonable time.” (FAC, ¶ 26).

In his Opposition, Plaintiff does not contest that he failed to allege privity. Rather, Plaintiff argues that his claim is based upon Defendant's own express warranty obligations, which remained in effect at the time Plaintiff purchased the subject vehicle. Plaintiff

contends that privity is not required, citing to both *Ballesteros, supra*, and *Davis, supra*. However, as mentioned above, these two cases held that the Commercial Code's express warranty provisions are limited to warranties given by the seller directly to the buyer. (*Ballesteros, supra*, 109 Cal.App.5th at 1216 [citing *Davis, supra*, 100 Cal.App.5th at 838]). Rather, the court in *Ballesteros* held that “[t]he Song-Beverly Act explicitly governs manufacturer warranties and does not require privity.” (*Ballesteros, supra*, 109 Cal.App.5th at 1218). Plaintiff does not bring a claim under the Song Beverly Act.

Accordingly, the demurrer is sustained with leave to amend.

3rd COA – Breach of Implied Warranty of Merchantability (Cal. Com. Code § 2314) and 4th COA - Breach of Implied Warranty of Fitness for a Particular Purpose (Cal. Com. Code § 2315)

Cal. Com. Code § 2314 provides:

- (1) Unless excluded or modified (Section 2316), a warranty that the goods shall be merchantable is implied in a contract for their sale if the seller is a merchant with respect to goods of that kind. Under this section the serving for value of food or drink to be consumed either on the premises or elsewhere is a sale.
- (2) Goods to be merchantable must be at least such as
 - (a) Pass without objection in the trade under the contract description; and
 - (b) In the case of fungible goods, are of fair average quality within the description; and
 - (c) Are fit for the ordinary purposes for which such goods are used; and
 - (d) Run, within the variations permitted by the agreement, of even kind, quality and quantity within each unit and among all units involved; and
 - (e) Are adequately contained, packaged, and labeled as the agreement may require; and
 - (f) Conform to the promises or affirmations of fact made on the container or label if any.
- (3) Unless excluded or modified (Section 2316) other implied warranties may arise from course of dealing or usage of trade.

Cal. Com. Code § 2315 provides: “Where the seller at the time of contracting has reason to know any particular purpose for which the goods are required and that the buyer is relying on the seller's skill or judgment to select or furnish suitable goods, there is unless excluded

		or modified under the next section an implied warranty that the goods shall be fit for such purpose.” As stated above, the court in <i>Ballesteros, supra</i>, held that “implied warranties arise under the Commercial Code only for a merchant or seller in privity with the buyer.” (<i>Ballesteros, supra</i>, 109 Cal.App.5th at 1217). Plaintiff concedes there is no privity, but the only cases Plaintiff relies on in support of his argument that privity is not required are <i>Ballesteros</i> and <i>Davis</i>, which support the opposite conclusion. Accordingly, the demurrer is sustained with leave to amend. <u>1st COA – Violation of Magnuson-Moss Warranty Act (MMWA)</u> Defendant demurs to this cause of action on the basis that Plaintiff has not stated a viable state law claim. As the court held in <i>Clemens v. DaimlerChrysler Corp.</i> (9th Cir. 2008) 534 F.3d 1017, 1022: “the claims under the Magnuson–Moss Act stand or fall with his express and implied warranty claims under state law.” Plaintiff concedes Defendant’s argument that MMWA claims “stand or fall” with the state-based claim. (Opp., 3:3). Plaintiff argues that because the Commercial Code claims are viable, so too is the MMWA claim. However, because Plaintiff’s other causes of action under the Commercial Code fail, the court sustains the demurrer as to this cause of action with leave to amend as well. Should Plaintiff wish to file an amended complaint that addresses the issues in this ruling, Plaintiff must file and serve it within 30 days of service of notice of ruling. Defendant shall give notice.
3	Church vs. Rancho Madrina Community Association	TENTATIVE RULING: <u>Petition to Confirm Arbitration Award</u> Petitioner Rancho Madrina Community Association moves to confirm the arbitration award made on October 16, 2023. For the following reasons, the petition is GRANTED.